

my teenagers earned money to buy the things they wanted. And the truth is, teens come to understand the true cost of goods only when they buy them themselves.

Teenagers care a lot about money, especially when they start making their own. But more than money, they care about status, brands, and being cool. A while ago, at a stoplight, I noticed a group of private-school teenagers, one of them holding a Louis Vuitton purse. I don't know if it was real or a knockoff, hers or her mother's hand-me-down, but I thought to myself how moronic it was that a teenage girl would own a \$2,500 purse. That money should have been in a bank somewhere accumulating interest! (Invested once, and left to compound at 4 percent a year for fifty years, that \$2,500 would be worth more than \$17,000 when she turned sixty-five. Just saying.)

Listen, I was a teenager, too. When I was young, Levi's bell-bottom jeans were all the rage. I felt like Jimi Hendrix in those pants, which had a high waist, were tight at the thigh, then flared out dramatically at the calves. Every generation adopts its own must-have stuff and things that are required in order to fit in and be cool. I get it. You've probably heard it said that you know the price of everything and the value of nothing. And it was said to you as if it was an insult. But it's not an insult. It's a simple fact. Value is about consistency. It's about what things are worth over a given stretch of time. If you're a kid reading this, you haven't been around very long, so value doesn't mean much to you. It shouldn't. Time is still an abstract concept, something that only old people care about. To you, time is infinite and it moves fast. When you're a kid, it's supposed to feel that way. You grow out of clothes quickly. You get bored of games hours after you've played them a couple of times. Music goes out of style faster than you can (legally) download the next track. And with each passing year, the pace doesn't let up. Hairstyles, pant lengths and widths, and gadgets all come with expiration dates. It's the same as when I was a kid, but I will say it seems as if those dates come a lot quicker today.

Here's the problem: You haven't really owned something for five, ten, or fifteen years. You haven't watched its value increase or decrease over time. That's why teens make excellent consumers, but they suck at saving and investing—because time doesn't mean much to them.